

Section 4

Negotiation

What is a Negotiation?

Negotiation

A process of communication, either face-to-face or via electronic means, where two or more people come together to seek mutual agreement about an issue or issues

Negotiation

Negotiation purposes:

- Quality contract
- Optimizes business objectives and minimizes risk
- Satisfies customers
- Provides fair and reasonable price, desired quality, and required delivery
- Minimizes the potential for problems during execution

Negotiation Preparation

**“Always Be Prepared to Negotiate, but
Never Negotiate Without Being Prepared.”**

Winston Churchill

Negotiation Planning

- Step One:
Conduct price analysis or cost analysis to develop an “Optimistic”, “Realistic”, and “Pessimistic” position
- Step Two:
Develop a “Walk Out Price” (sometimes called a “Reservation Price”).

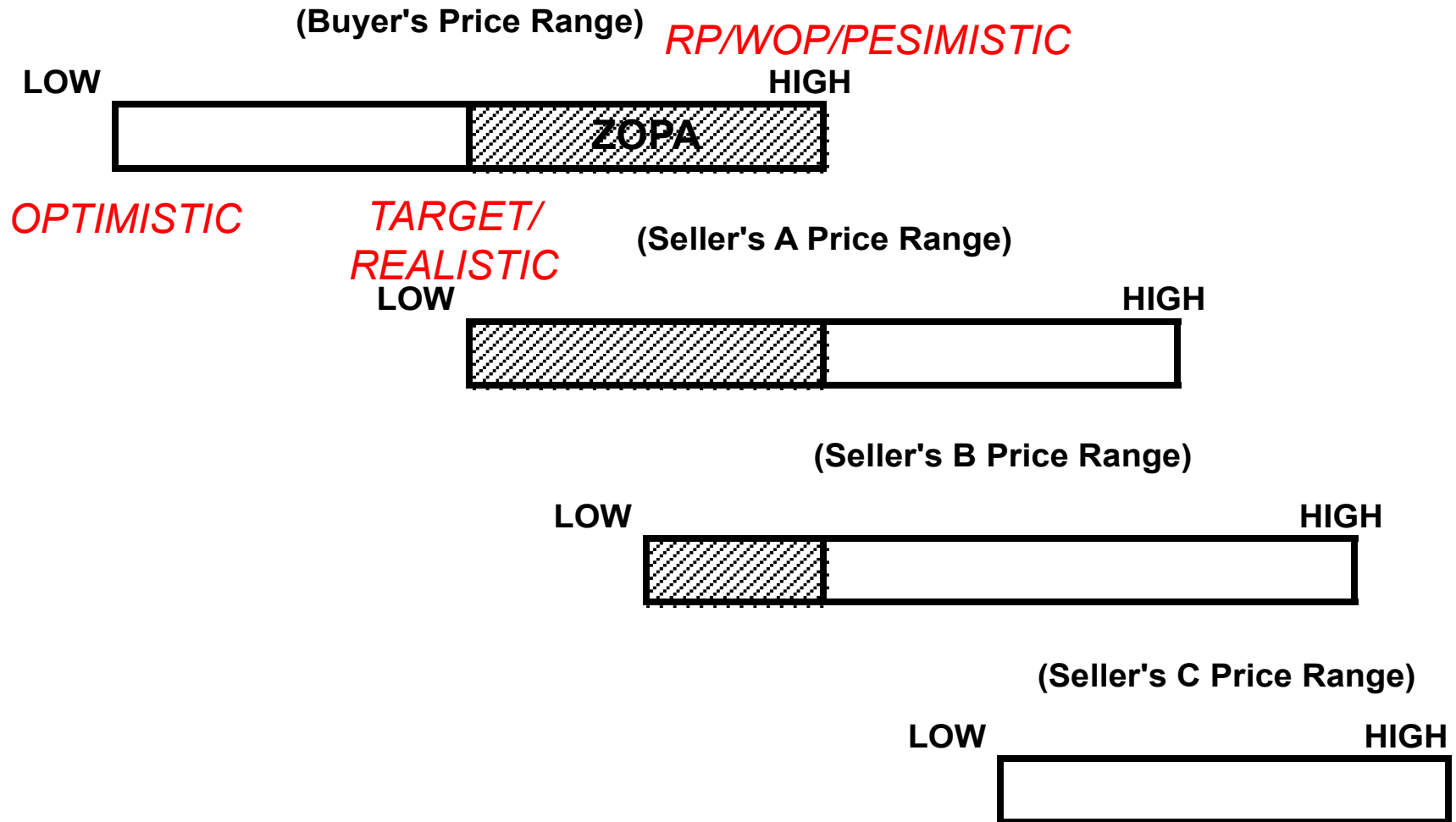
Negotiation Planning

- Step Three:
Develop a “BATNA” (Best Alternative to a Negotiated Agreement) Strategy
- Step Four:
Estimate the opposite party’s “Walk Out Price” and BATNA

Negotiation Planning

- Step Five:
Determine if a Zone of Potential Agreement (ZOPA) exists. If there is none, there can be no expectation of a successful negotiation.
- Step Six:
Develop negotiation strategy and tactics.

Zone of Potential Agreement (ZOPA)

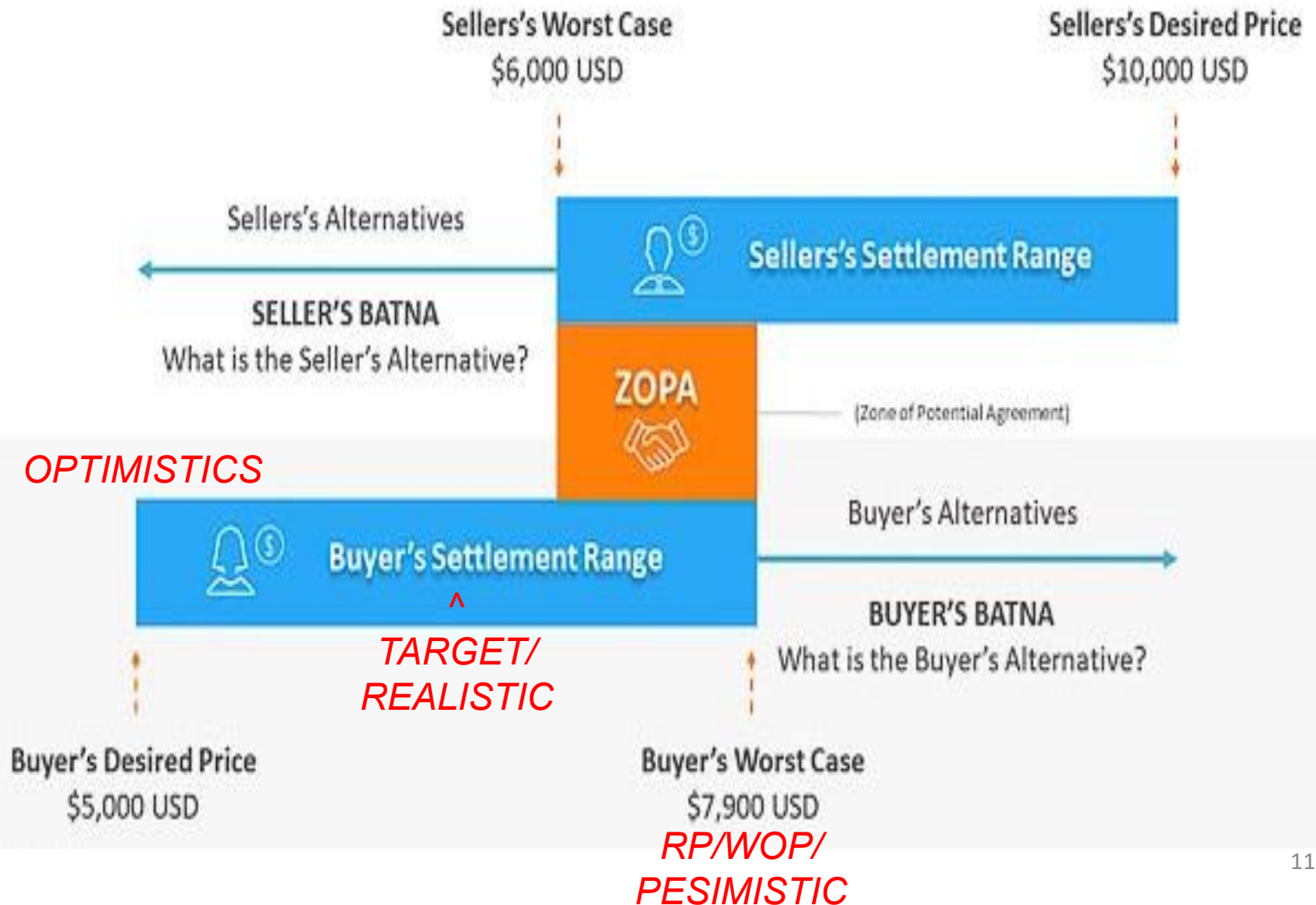


BATNA

- The best alternative if the negotiation failed
- A “Strategy” to invoke when you “walk out”
- The opposing party must be led to “believe” that you have a strong BATNA

BATNA Negotiation Diagram

BATNA: Best Alternative to a Negotiation Agreement



WATNA

A “Strategy” when an agreement may be onerous, but a lack of agreement is even more so

- Monopolistic market
- Monopsonistic market

Negotiation Preparation: Pre-negotiation Meeting

- Establish negotiation agenda
- Establish strategy and tactics
- Organize and train the negotiation team
- Research the opposite firm and negotiator
- Establish optimistic, realistic and pessimistic positions, WOP, and BATNA
- Estimate opposite side's WOP and BATNA
- Determine ZOPA
- Prepare and obtain approval for Pre-negotiation Memorandum

Executive Sponsorship

- Executives should responsible the readiness of the team
- The executive should review the proposed negotiations objectives and strategy (usually by means of a Pre-negotiation Memorandum)
- Executives must ensure for “speaking with one voice” without exception
- Executives must delegate the Negotiation Team authority as needed

The Negotiation Team

- The Purchasing Manager
 - The Team Leader
 - The Chief Negotiator
- The Technical Analyst/ Team Expert
- The Cost Analyst/Accountant/Cost Estimator/
- Legal Team
- Scribe
- Interpreter (if required)

Negotiation Documentation

- Prepare Negotiation Record
- Prepare and obtain approval of Post-Negotiation Memorandum
- Draft Contract Agreement

What Can Influence?

- Face-to-face negotiations
- Body language and facial expressions
- The lead negotiator should facilitate the negotiations sessions, but all team members should have a planned role
- Meeting location

What Can Influence?

Negotiation facilities:

- Proper seating
- Sufficient lighting
- Working overhead projector/laptop
- Whiteboards and tables

Determine the best seating arrangement:

- Opposite sides of table or interspersed?
- Conference table or other?

Keys to Success

- Have a strong grasp of the facts and a clear set of objectives
- Negotiating without facts can backfire and lose credibility
- Well prepared negotiation teams improvise well
- Structure and control the process
- Empathize
- BE PREPARED, BUT ALSO FLEXIBLE

Common Negotiation Errors

- Insufficient planning and preparation
- Not concerned about building trust
- Not listening actively
- Inflexible, not open to options
- Impatient with the process
- Not concerned with building or maintaining the relationship
- Unaware of both parties' emotions
- Using threats or bullying

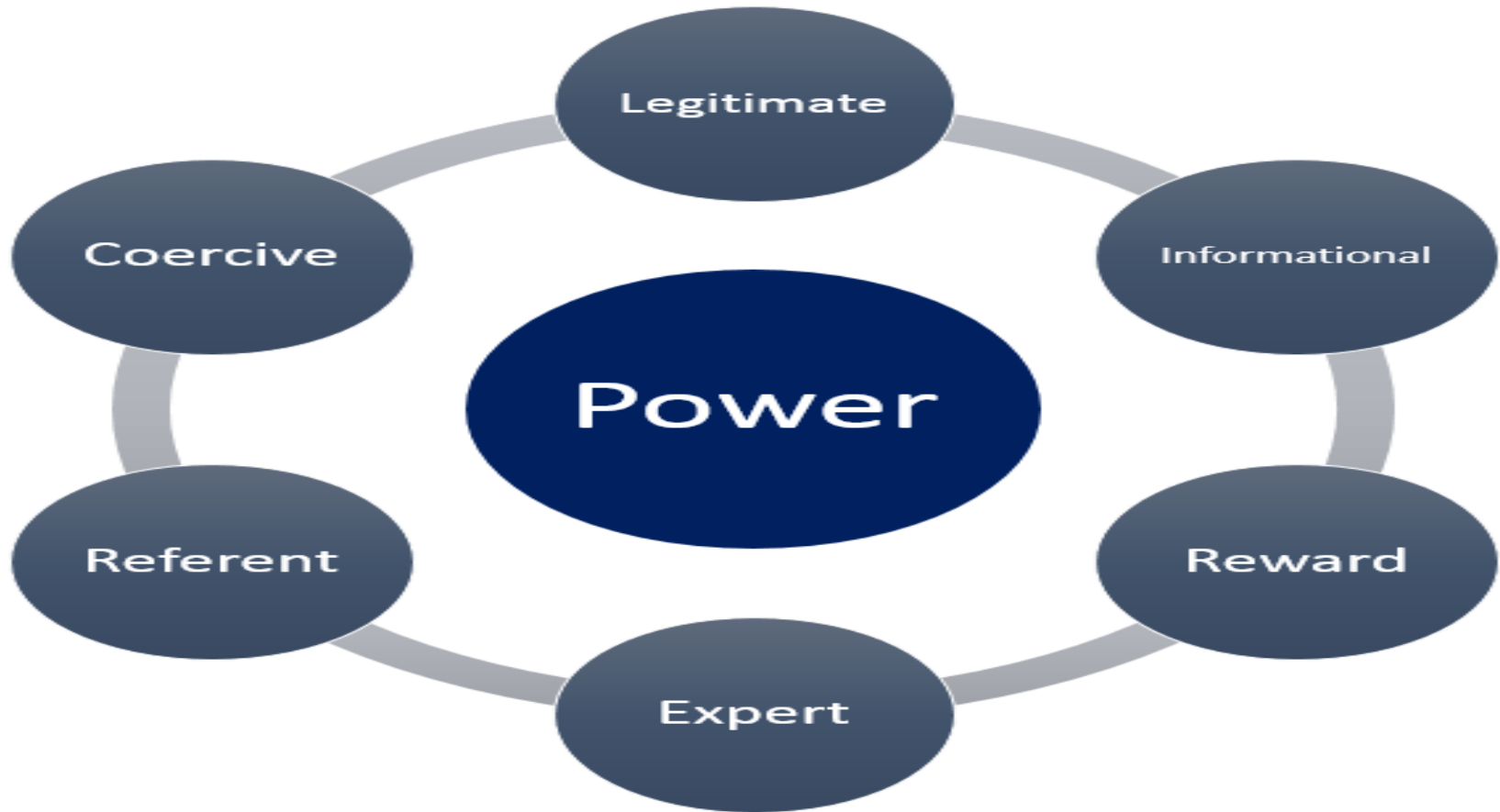
Negotiation Skills

- Communication
 - Active listening
 - Understand linguistics styles
 - Paying attention
 - Send clear message
- Developing questions

Negotiation Tools

- Negotiation Strategy
- Negotiation Power
- Tactics
- Concessions

Negotiation Power



And don't forget "Associative Power"

Negotiation Tactics

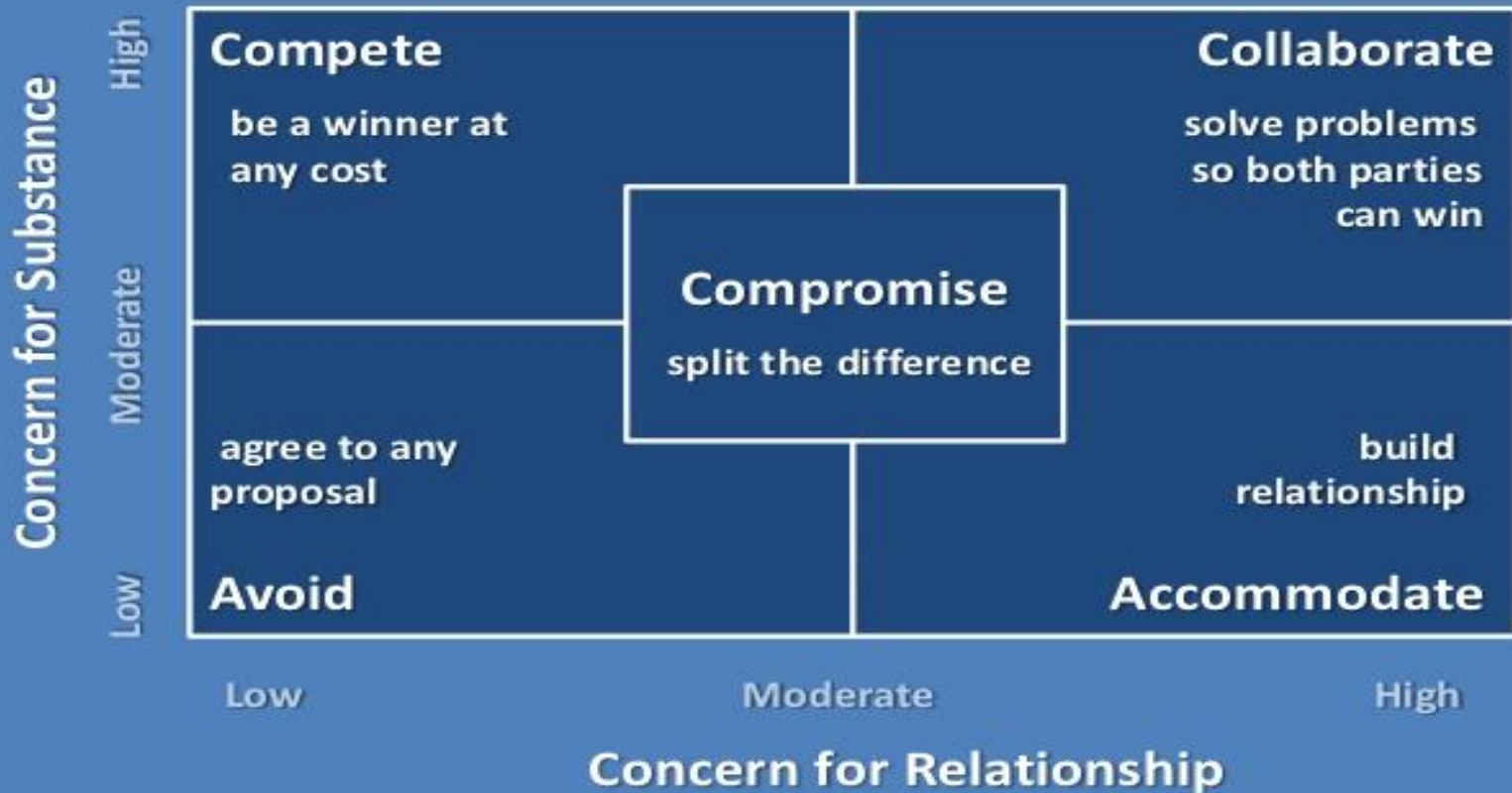
- Silent Tactics
- Good Guy/Bad Guy
- Highball/Lowball
- Appeals to Emotion
- Delays
- Chicken Games
- Intimidation
- Bluffs
- Threats

Negotiation Concessions

- A concession is an adjustment made by one side during a negotiation to avoid deadlock
- “If you give A, I’ll give B”
- Concession calls for return
- Signal willingness to move

Negotiation Strategy

Choosing right strategy



The Two Major Negotiation Strategies

Characteristic	Win/Win Style	Win/Lose Style
Negotiation goal	Obtain a result that is satisfactory to both sides, including a fair and reasonable price	Obtain the best possible deal for one side, regardless of the consequences to the other side
Focus	Solve mutual problems	Defeat the other party
Environment	Cooperation and trust	Mistrust and gamesmanship
Negotiation characteristics	■ Negotiators attack the problem, not each other ■ Focus on long-term satisfaction ■ Available alternatives considered ■ Results based on objective standards ■ Focus on positive tactics to resolve differences ■ Emphasis on a win/win result	■ Tactics designed to increase or emphasize relative power ■ Focus on negotiating positions rather than long-term satisfaction ■ Argumentative ■ Reluctance to make any meaningful concessions ■ Highly competitive

Win – Loose Negotiation Strategy

The Distributive Bargaining Characteristics

- Usually “zero sum”
- Single transaction
- Relationship is relatively unimportant
- Process may be manipulated and intimidated for advantage



You cannot negotiate
with people who say
what's mine is mine
and what's yours is
negotiable.

John F. Kennedy

Jay Branscomb
2011

General Rules

- Keep all information “close-hold”
- Start negotiating as far from your objective as you can
- Sun Tzu, Clausewitz, and Napoleon believed to maintain the “offensive” whenever possible
- Establish agenda and provide it at the first negotiation session
- Don’t be afraid to show emotions

General Rules

- Be prepared to compromise “a little to get a lot”
- Ask probing questions designed to keep the opposition “off balance”
- Make the opponent believe they need you more than you need them
- Have a strong “BATNA” and don’t be afraid to “flaunt it”!
- You can “baffle them with BS”

Tips for Distributive Negotiating

- Be aggressive
- Know your BATNA and flaunt it
- Bilateral Concessions not Unilateral Concessions
- Make early concessions small

Win – Win Negotiation Strategy

Integrative Negotiation Characteristics

- Focus on Commonalities, not differences
- Address Needs and Interests, not positions
- Commitment to Meeting the Needs
- Free flow exchange of Information & Ideas
- Invention of Options for Mutual Gain
- Attempting to Understand the Other Negotiator's Real Needs and Objectives



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Questions To Uncover Interests

- Why is this important to you?
- What concerns do you have?
- What's the real problem?
- Why not this?
- Help me to understand...

Handling Perception Problems

- Put yourself in their shoes
- Don't blame
- Help them become involved

Handling Emotions

- Recognize and understand everyone's emotions
- Allow the other side to let off steam.
- Don't react to emotional outbursts.
- Consider apologizing.

Communicating Effectively

- Listen actively
- Deprecate yourself, not them
- Speak for a purpose.

Building Trust

- | | |
|---------------------|-------------------|
| • Practice Openness | • Be Consistent |
| • Promote Fairness | • Keep Promises |
| • Express Feelings | • Tell the Truth |
| • Keep Confidences | • Show Competence |

Why Integrative Negotiation Is Difficult To Achieve

- History of Relationship
 - Previous competitive & conflict
 - Attitude of Win-Lose in past
 - Distrust
- Belief an issue can only be resolved distributivity
- Failed building trust
- No motivation and commitment to Work Together

End of Slides